Q3 2024

# Custom Managed Portfolios

## QV Investors Inc.

## Dividend Income

## Quick facts

**Asset class:**
Canadian Large Cap

**Management style:**
Dividend Focus[1]

**Number of holdings:**
39

**Sub-advisor:**
QV Investors Inc.

**Portfolio manager:**
Aviso Wealth

**Minimum investment:**
$150,000

**Inception Date:**
January 1, 1999

aviso wealth

## What does the strategy invest in?

This strategy will mostly invest in equities of Canadian large capitilization companies that produce stable, predictable cash flows and distributions. The mandate also allows for a very limited exposure to US equities. QV adheres to strict Socially Responsible Investing (RI) principles when it selects securities for this mandate..

## How has the strategy performed?

### Average annual compound returns

| | 3 month | YTD | 1 yr | 3 yr | 5 yr | 10 yr | SI |
|---|---|---|---|---|---|---|---|
| Portfolio | 10.64% | 17.13% | 23.08% | 11.73% | 11.35% | 7.86% | 11.83% |
| Benchmark[5] | 10.54% | 17.22% | 27.03% | 9.59% | 10.99% | 8.11% | 7.98% |

### Calendar year returns

| | 2023 | 2022 | 2021 | 2020 | 2019 | 2018 | 2017 |
|---|---|---|---|---|---|---|---|
| Portfolio | 8.23% | 2.49% | 28.28% | - 1.00% | 20.46% | -11.31% | 5.22% |
| Benchmark[5] | 12.02% | - 5.86% | 25.09% | 5.59% | 22.88% | - 8.89% | 9.10% |

| | | | | | |
|---|---|---|---|---|---|
| Standard deviation | 7.72% | Sortino ratio | 1.69 | Upside capture | 93% |
| Sharpe ratio | 1.33 | Beta (Equity) | 0.63 | Downside capture | 56% |

## Largest holdings

1. CCL INDS INC CL B 5.5%
2. SUN LIFE FNCL INC 4.5%
3. INTACT FINL CORP 4.4%
4. ROYAL BANK OF CDA 4.2%
5. ENBRIDGE INC 4.1%
6. CGI INC 4.0%
7. QUEBECOR INC CL B 3.7%
8. TORONTO DOMINION BK 3.5%
9. IA FINANCIAL CORP INC 3.3%
10. TOROMONT INDS LTD 3.3%

## Portfolio attributes

| Dividend yield | Average Trailing P/E | Average Forward P/E | Average Trailing P/S | Average Forward P/S | Average market cap | Portfolio turnover |
|---|---|---|---|---|---|---|
| 2.62% | 19.55 | 14.91 | 3.44 | 5.66 | $58.48 B | 25% |

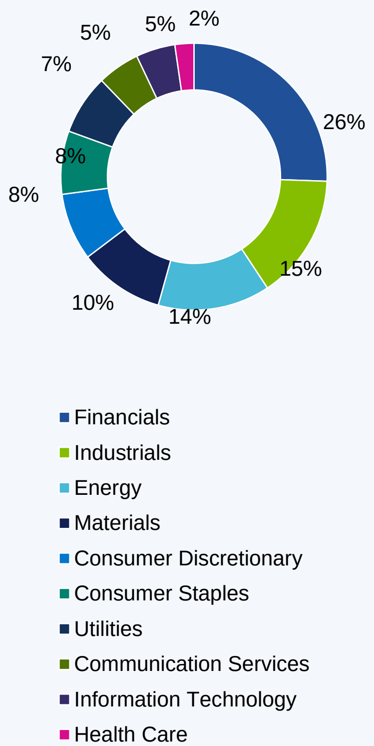
## Target allocations

| Asset class | Min | Target | Current | Max |
|---|---|---|---|---|
| Canadian equities | 70% | 98% | 87.3% | 100% |
| US equities | 0% | 0% | 5.5% | 10% |
| Cash & cash equivalents | 0% | 2% | 7.2% | 20% |

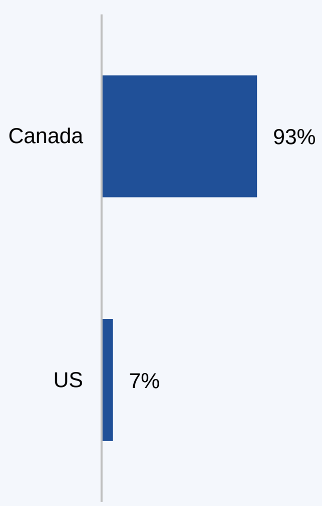
■ Target □ Current

Q3 2024

## Sector breakdown




## Geographic allocation




# Quarterly commentary

The NEI Canadian Equity RS Fund returned 10.6% in the quarter versus 10.5% for the S&P/TSX Composite Total Return Index (TSX). The one-year return was 22.7% for the strategy compared to 26.7% for the benchmark.

The strategy kept pace with broad-based strength from the market this quarter. On a relative basis, strong stock selection in energy and consumer staples contributed while the cash weight and negative stock selection in consumer discretionary partially detracted.

The strategy's top contributing investments in the quarter were iA Financial, CCL Industries and Quebecor. The largest detractors were Alphabet Inc., ARC Resources and TELUS International.

We initiated on Tourmaline Oil Corp. and AutoZone Inc. this quarter and exited Alphabet Inc.

Tourmaline is a natural gas producer based in Alberta, with assets in the deep basin and Northeast BC. We have followed Tourmaline for several years and like the strong operating capabilities and capital deployment strategies of the management team. The company has very little leverage and recently acquired a smaller natural gas producer at an attractive valuation (relative to the quality of assets acquired). Natural gas prices have been very weak throughout 2024 due to warm weather earlier in the year, which caused Tourmaline's valuation to fall. We funded Tourmaline's initiation partially through cash and small trims to ARC Resources and Brookfield Corporation.

We exited Alphabet Inc. because of uncertainty surrounding what Google could look like in the future with potential anti-trust rulings. Proceeds from the sale funded the initiation of AutoZone, a high quality compounder that remains reasonably valued.

The communications sector has been undergoing significant disruptions over the last several years. The entrance of a major fourth player (Quebecor Inc.) has resulted in a price war across wireless and wireline. The once traditionally stable industry growing 2-3% each year is now collectively shrinking, despite record population growth in Canada. A disruptive price war, stretched balance sheets and rising interest rates have caused the valuations of all communications companies to fall to muti-year lows. Our lone investment in the space, Quebecor, has fared comparably better, as its balance sheet is less levered, the shares are more attractively valued, and the company gained market share which helped offset an otherwise stagnant industry. We continue to believe industry growth will pick up eventually and that Quebecor is very well positioned to win its fair share of the market. We took advantage of the very low valuations Quebecor was trading at and added to our existing position.

Our consumer staples companies have outperformed the market considerably this year as the grocers continued to post good earnings growth and proved their ability to operate and grow even without high food inflation. While we believe that all three grocers are high quality companies, we are cognizant that valuations in these companies have moved significantly higher, making their risk/reward comparably unattractive. To that end, we have trimmed our weight in Loblaws and Empire on account of valuation. We held our weight in Metro, as Metro is a smaller weight relative to the other two.

Throughout 2022 and 2023, TC Energy had a myriad of challenges including overspending on a pipeline, a stretched balance sheet and losing credibility with the equity markets by issuing equity after stating that it would not need to do so. TC Energy has made some progress on its balance sheet and recently spun out its liquids division into a new entity, South Bow. As the shares began to recover as the company worked through its balance sheet challenges, we trimmed our weight. We reinvested the proceeds into Enbridge where we continue to see good value and better risk/reward characteristics.

The economic trends in place in Canada throughout the last 18 months continue. The economy is slowing, but averages are misleading. If you are a Canadian copper or gold producer, you are still enjoying record cash flow and earnings growth. If you are in the business of selling discretionary consumer goods in Canada, you have likely been struggling with growth for the better part of two years. We see similar themes within our portfolio and continue to take measured risks in all parts of the market, from investing in traditionally stable industries (that are currently not-so-stable) to buying economically sensitive companies that are already dealing with recession-like conditions.

# Investment manager overview

QV Investors Inc. is a Calgary-based portfolio management firm, founded in 1996, that is focused on balanced, Canadian equity, and fixed income portfolios for individuals, not-for-profit organizations, and institutional investors. QV stands for Quality and Value. The firm was founded by Leighton F. Pullen and is 100% employee owned.

# Investment philosophy

In managing equities, QV believes that an emphasis on risk analysis and realistic expectations for growth are imperative. They place a large weighting on the quality of management and buy companies that demonstrate proven records, focused strategies, competitive products and services and superior financial quality. They further believe that a keen eye to value disciplines their investing. Their depth of experience, independent research, and comparative and measured analysis provides the base for high quality growth over the long term.

## Investment process and risk controls

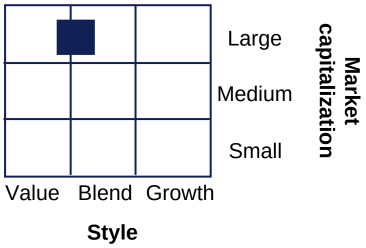
The QV uses fundamental research to identify corporate management teams who are able to sustain or improve the return on shareholder's equity and to create growth on a per share basis. In their analysis, they examine the executives' ownership, their integrity and vision, the promise of the business in a global context, the record of growth in shareholder's equity, earnings, and dividends and the corporation's financial strength, and the price paid for growth and/or assets. Their research process is internal with all managers assigned specific responsibilities and engaged in the selection and evaluation process.

Analysts meet daily to review analysis, monitor holdings, and examine the changing market and corporate fundamentals. They employ an open office environment to promote continuous communication of corporate news and developments.

Risks are governed by portfolio management and the continuous measurement of the character of the total portfolio. Specifically, they monitor the portfolio's diversification and quantitative characteristics. These include measures of financial quality, value and growth ratios, and sector and industry weightings. All of these are compared against the appropriate benchmarks. Their selections and weightings are adjusted in accordance with the prospects for economic growth and the valuations placed on the markets and securities.

QV maintains return on equity and other characteristics of the portfolio equal to or better than the character of the market as a whole and consistent with their global outlook. Such measures allow them to compare potential additions of new investment opportunities and reduce risk in aggressive markets.

## Equity style[2]




# About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions,  we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] Dividend Focus: An Investing style that focuses on sustainable and growing dividend payouts

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.



[5] The benchmark is S&P/TSX Composite TR Index

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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